



Absa Bank Kenya PLC

1H 2021 Earnings _ Analysts Pack

26 August 2021

ToC

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Operating Environment

Jeremy Awori –
Chief Executive Officer

Operating Environment

Strategy Execution

H1 2021 Financial Performance

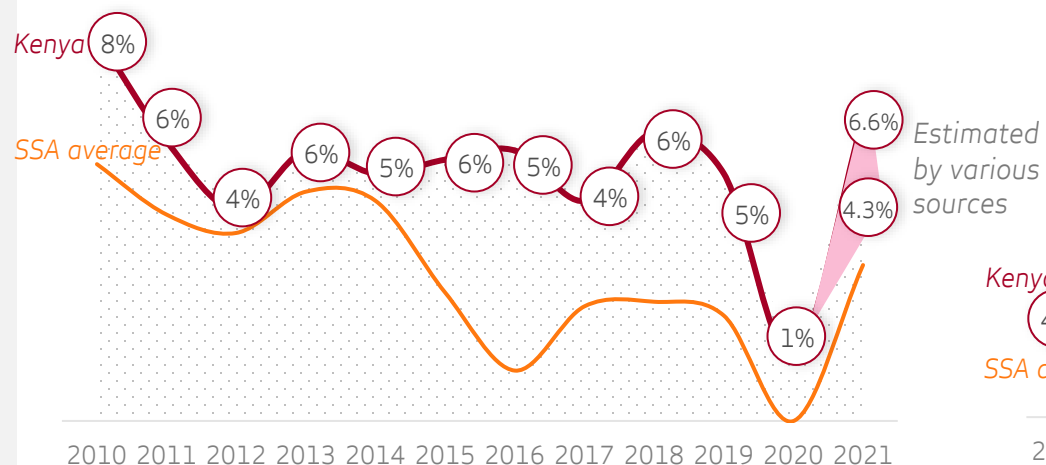
Forward Looking insights

2H Priorities

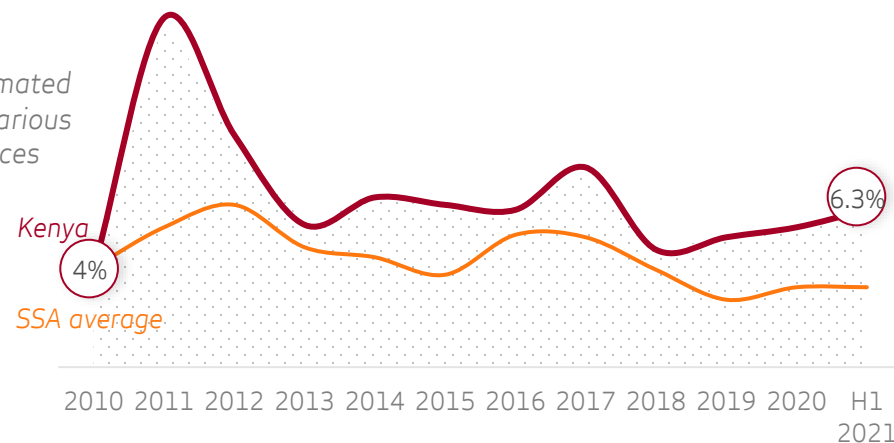
3

Operating Environment: We are navigating an uncertain operating environment with improving macro-economic stability

Kenya's GDP has grown above SSA economies: GDP growth



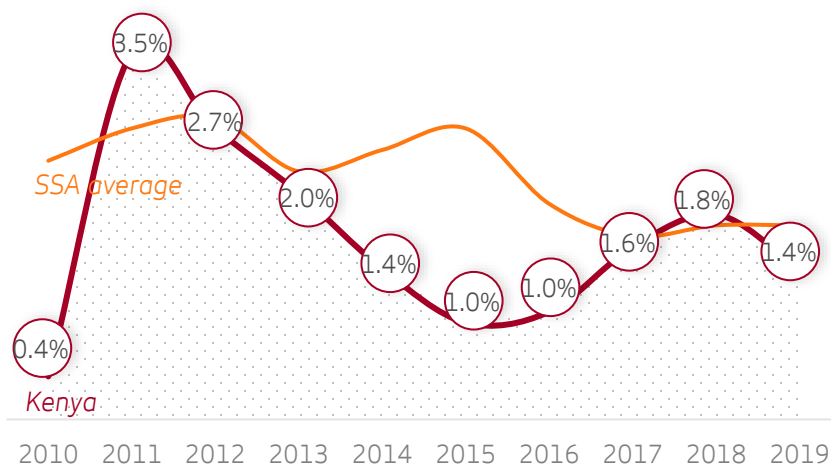
Inflation remained well anchored within the Government medium-term target



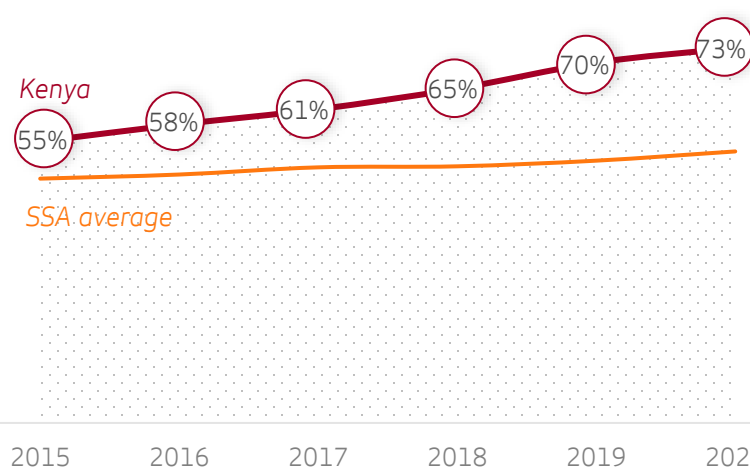
Head winds

1. 4th wave of COVID-19 infections
2. Emerging 2022 elections fever
3. Muted Foreign Direct Investment
4. Low vaccination rate

Foreign direct investments: Net inflows (% of GDP)



Third easiest market in Africa: 2020 Ease of doing business score



Tail winds

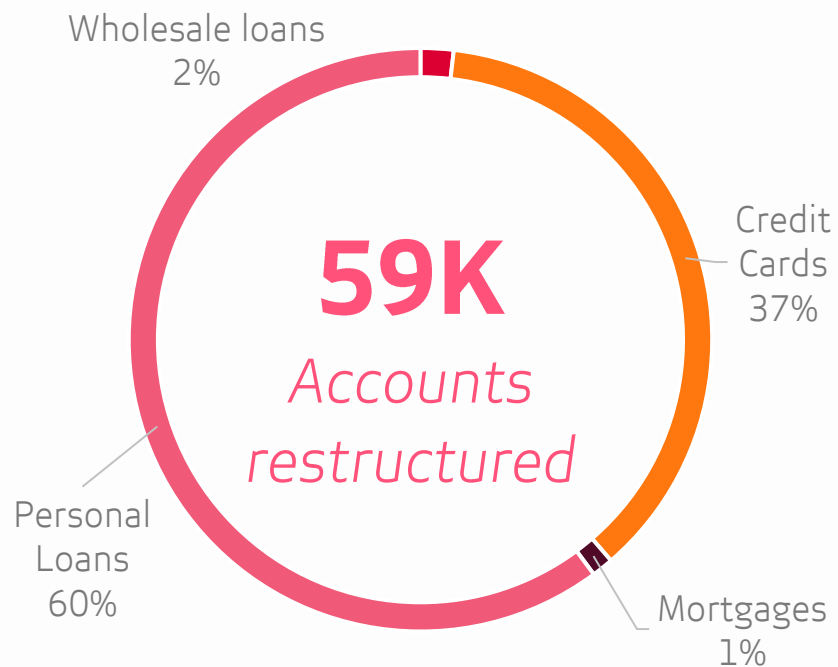
1. Growth in private sector credit (7.7 percent in June 2021)
2. Improving macro-economic performance
3. Price stability

Sources: Central Bank of Kenya, Government of Kenya Treasury, IMF, World Bank

COVID-19 Response: We continue to support vulnerable members of our society

2020

Customer support



Repayment holiday extended to
40%+ of total loan accounts

KES59bn
of loans restructured

Representing 30%
of the loan book;
94% regularized
as at H12021

2021

Donations of mask and school bags



Absa Managing Director Jeremy Awori alongside Education CS Prof George Mahoga hand over a bag to a student from the Joseph Kangethe Primary School in Kibera

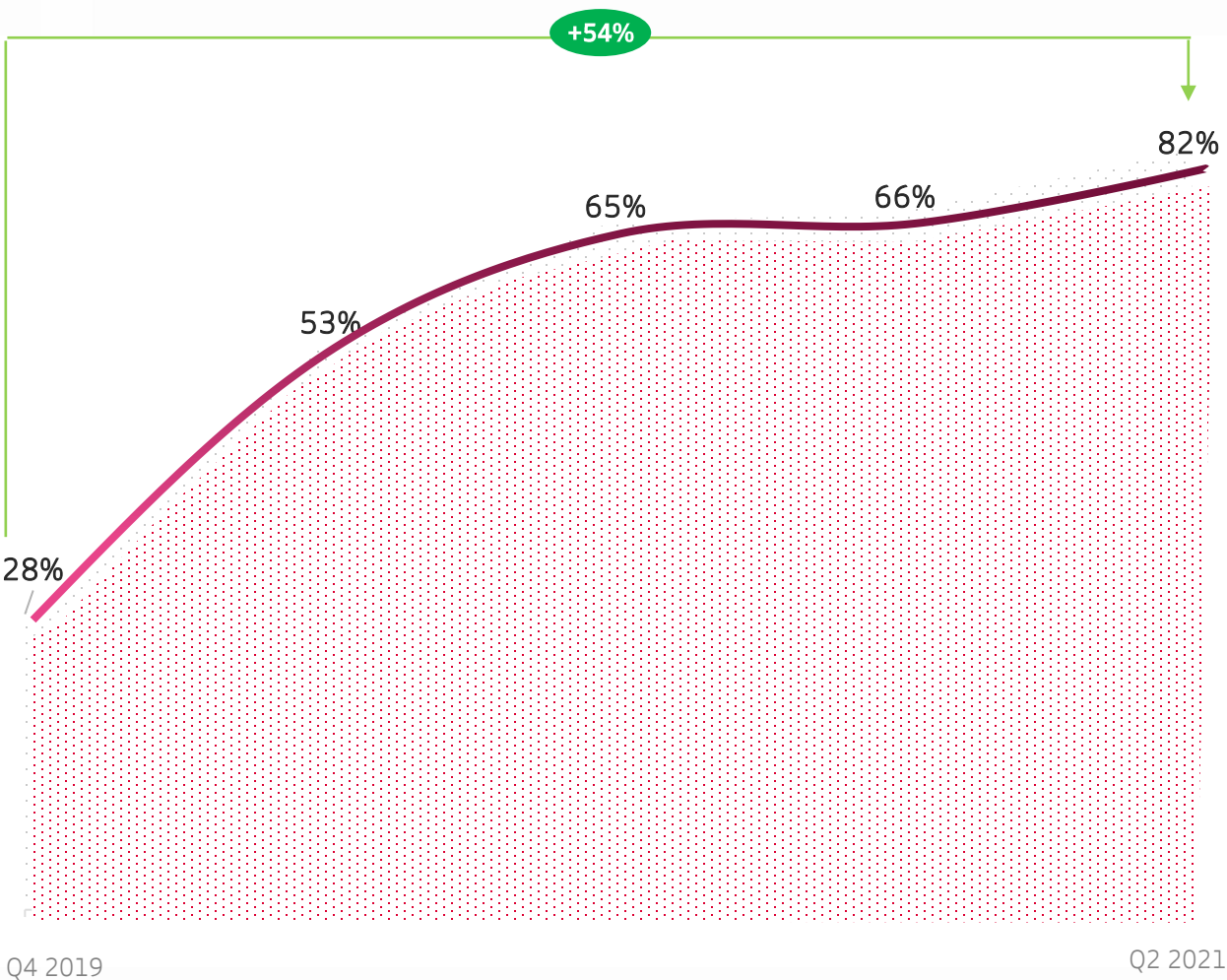
46 special needs schools
5,595 learners benefitted,
4,000 school bags donated
20,000 re-usable masks donated

Our Brand: We continue to build our new brand for local relevance and awareness despite of COVID-19



Leading to **impressive** performance on brand metrics

Absa Brand Awareness



Product launches : We are innovating to bring easier, faster and better services to our customers

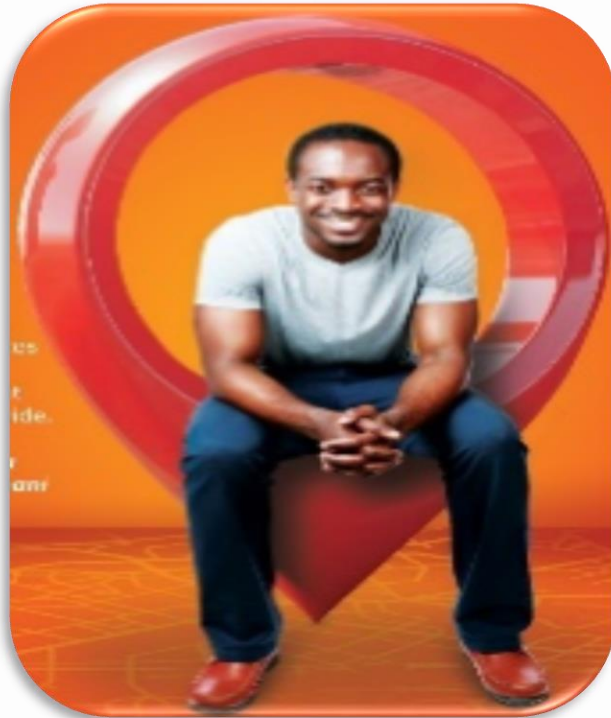
Women in Business She Account



An account that rewards you with:

- No minimum balance requirement and no monthly fees
- Unsecured loans of up to KES **6 million** shillings for individuals and KES **10 million** shillings for businesses
- **Cashback** on all ATM and debit card transactions
- 8 Major multicurrency prepaid card and
- Access to Absa Connect lifestyle events

Re-Launch of Agency Banking



Increased our service points to **642**

WhatsApp Banking



We launched first in the market WhatsApp banking where customers can conveniently transact via WhatsApp to service below requests:

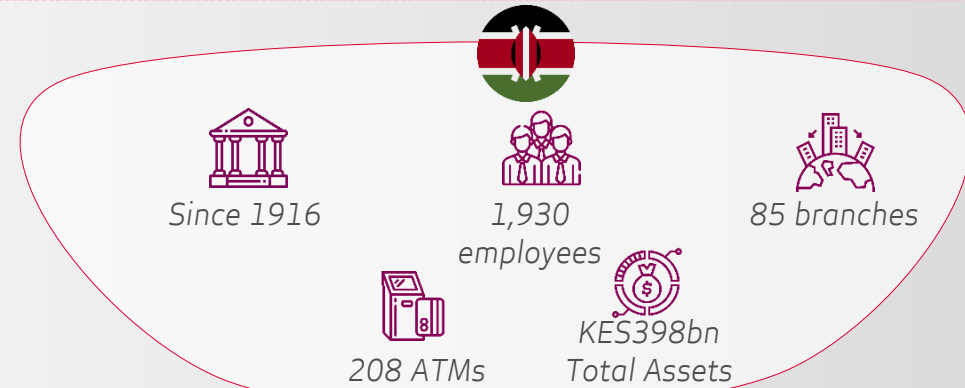
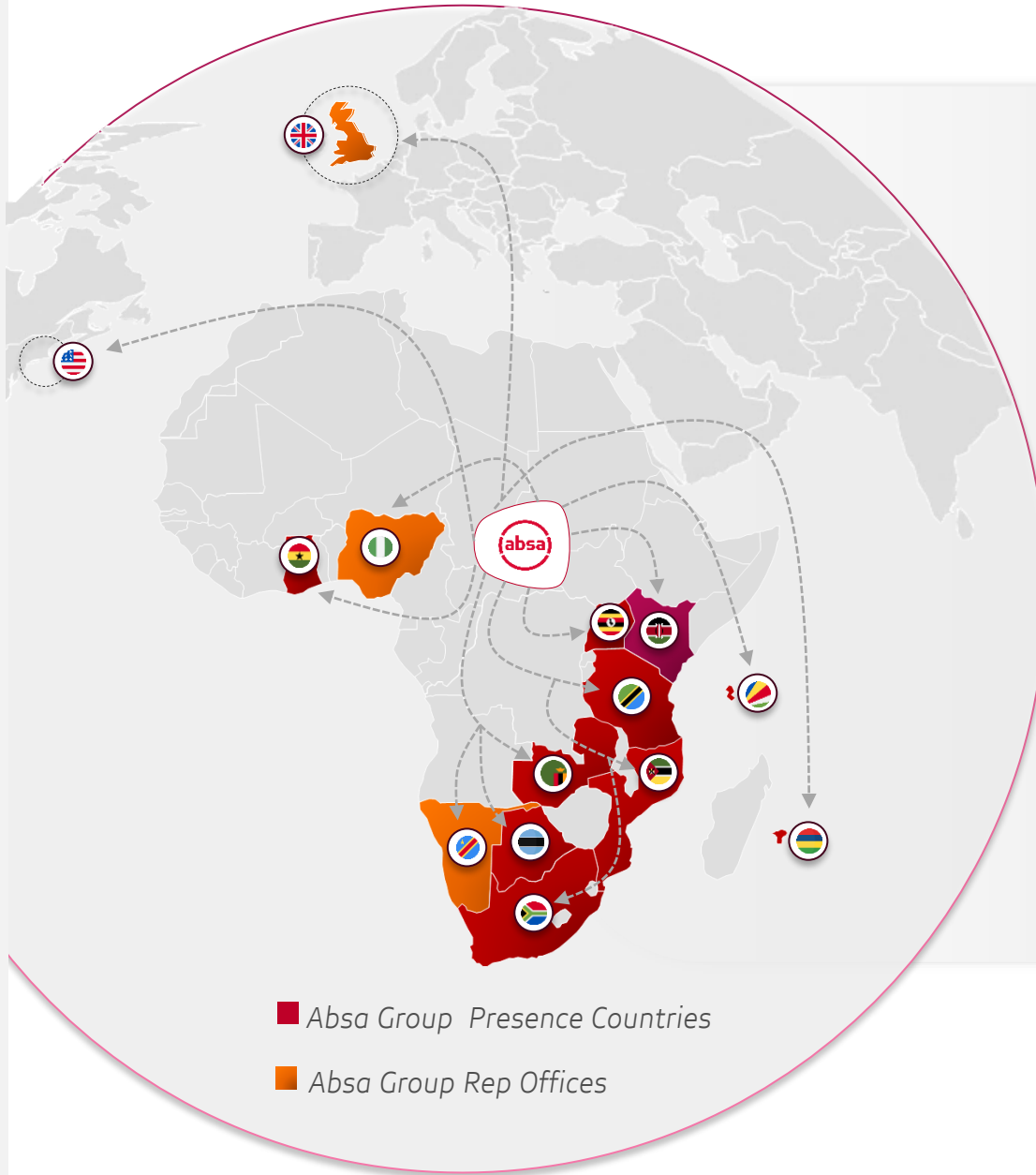
- Account-to-Mpesa/Airtel Money transfers
- Inter-account transfers
- Bill payments
- Balance enquiry



Strategy Execution

Jeremy Awori –
Chief Executive Officer

Absa Group Context: We are part of a leading Pan African financial Institution with global reach



Our Strategy: The Growth, Transformation and Returns pillars of our strategy remain valid

Our ambition is to become the best bank in customer experience as an enabler for growth above market growth rate.



Purpose

(Bringing your possibilities to life)



Priorities

Smart Growth
Protect our core franchise while pursuing new growth areas

Accelerated Transformation
Relentlessly simplify our business while capitalizing on the trends created or accelerated by COVID-19

Sustainable Returns
Optimize our capital allocation, cost efficiency and pursue outsized growth in ROE-captive revenues



Enablers

Technology
Radically modernize our banking platforms and digital capabilities

Culture
Embed an entrepreneurial culture of Brave, Passionate and Ready colleagues

Brand
Build Absa into a dynamic, accessible and aspirational brand



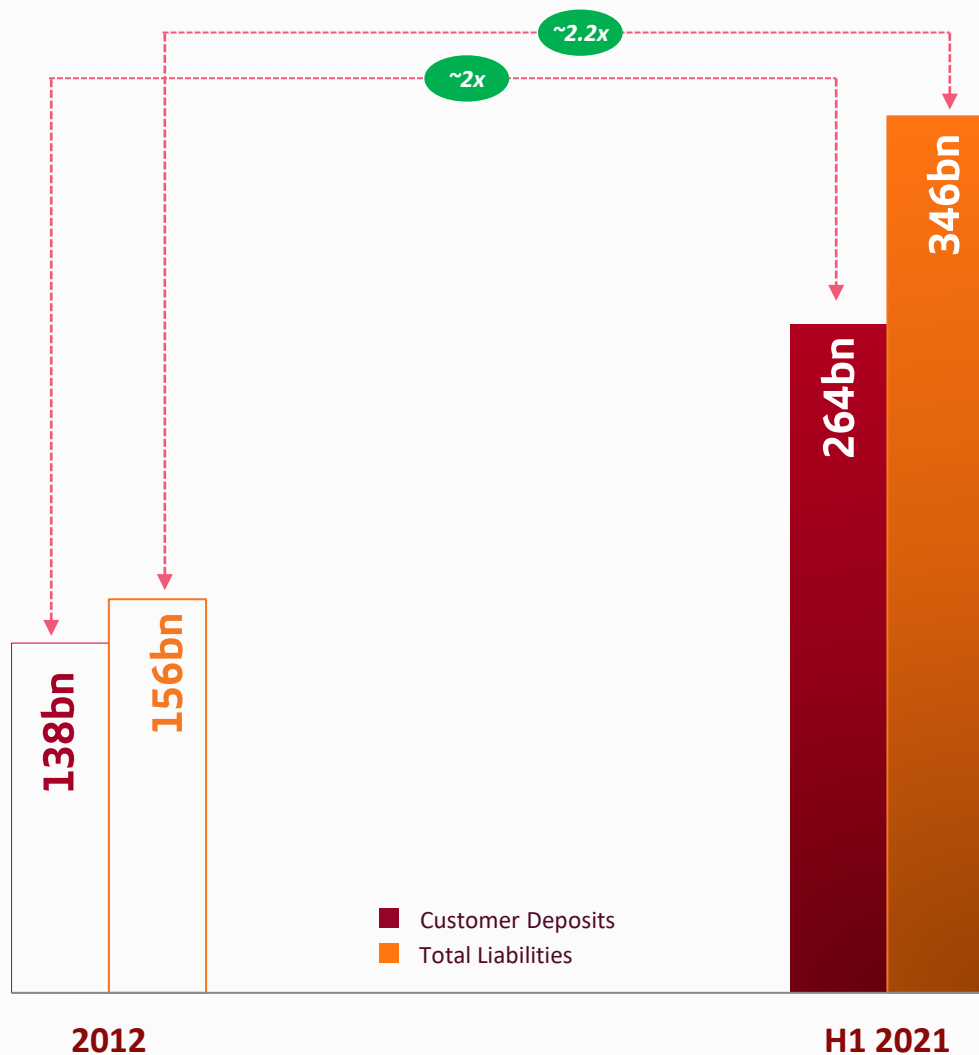
Measure of Success

(Growth, above market growth rate)

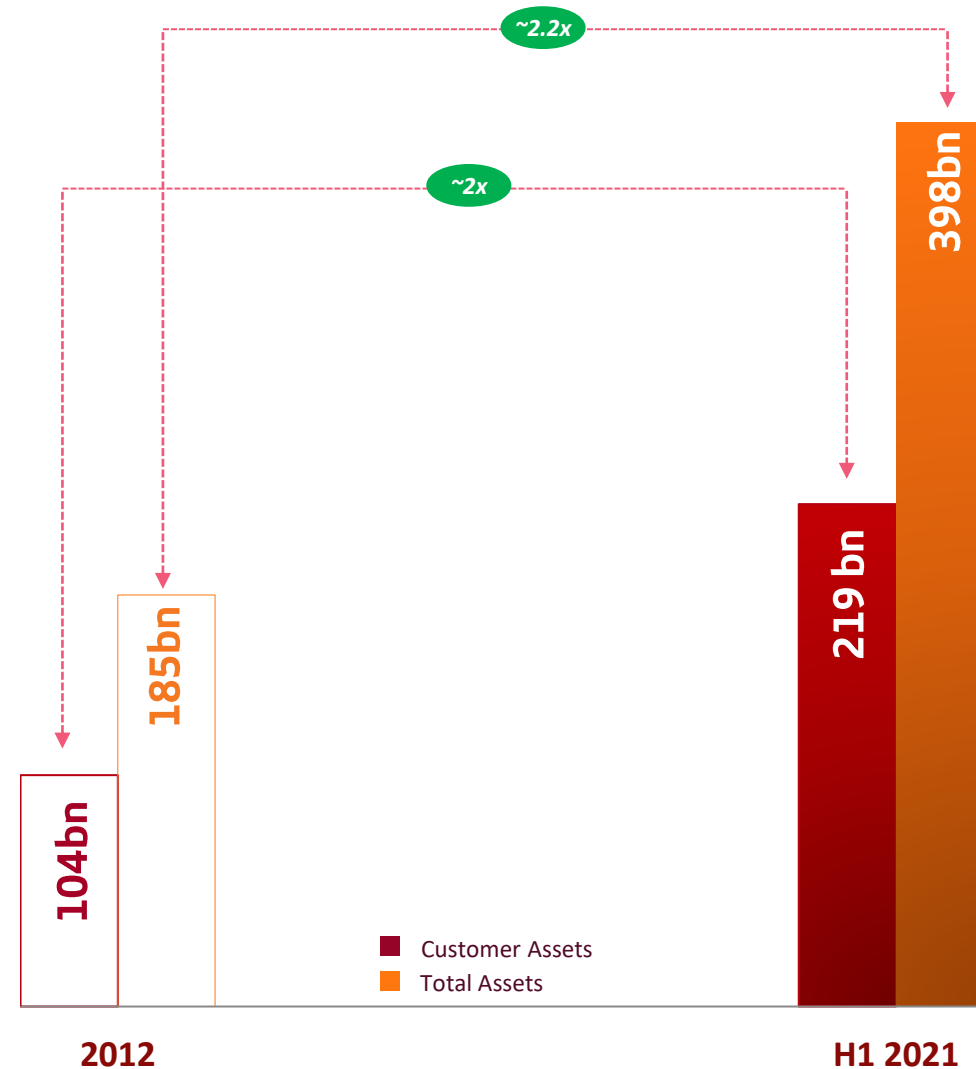
Our strategic successes to date: In executing our growth strategy we have achieved a significant build-up of our balance sheet

In KES 'billions' unless stated otherwise

We have grown our deposits 2x

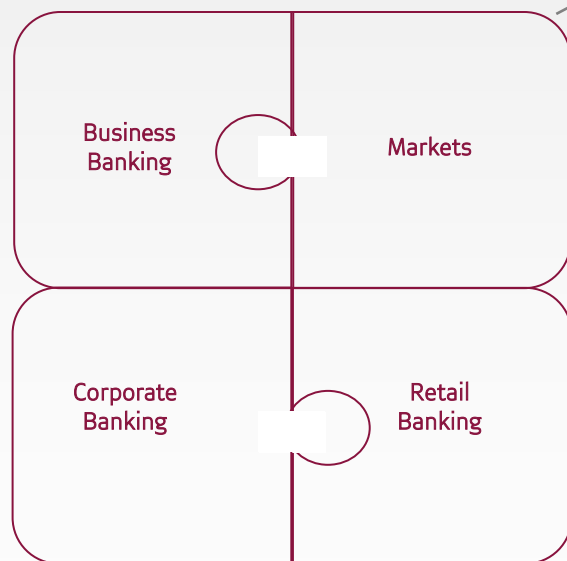


....and doubled our total asset book despite rate caps

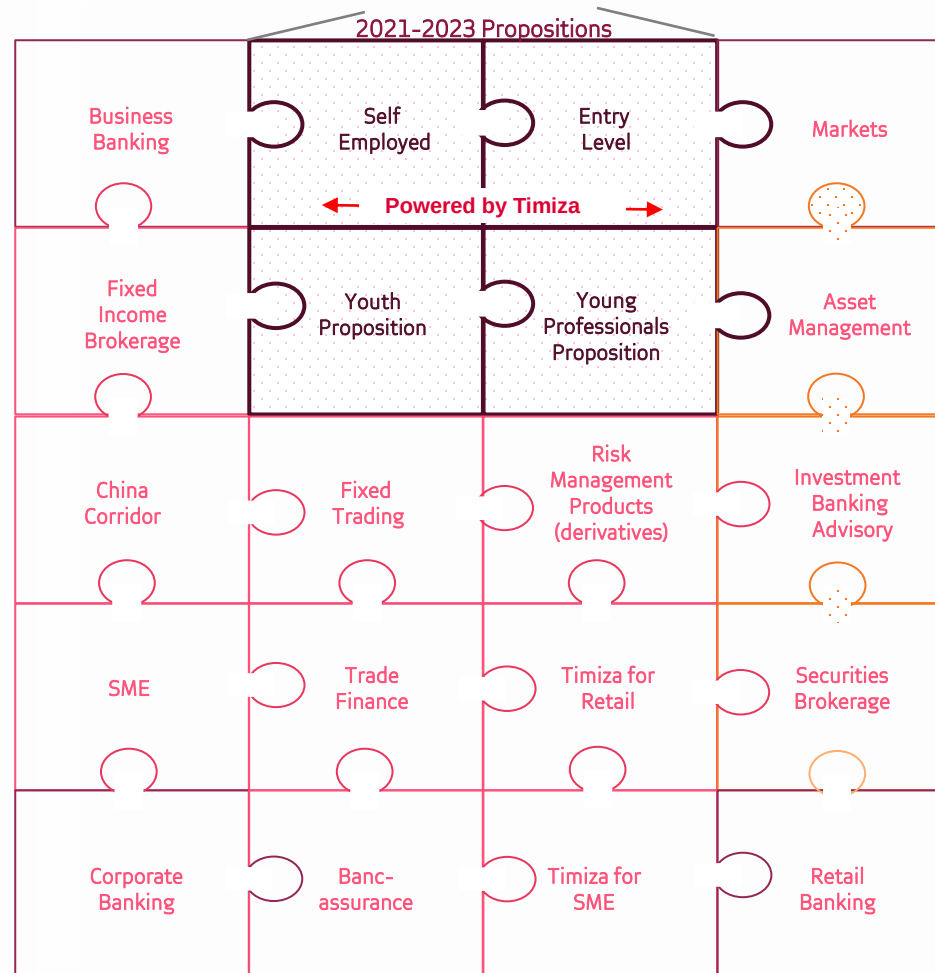


Our strategic successes to date: We have evolved our business with new propositions towards a full financial services group. We believe our future growth will be driven by a broader proposition set

Broad Propositions Pre 2013

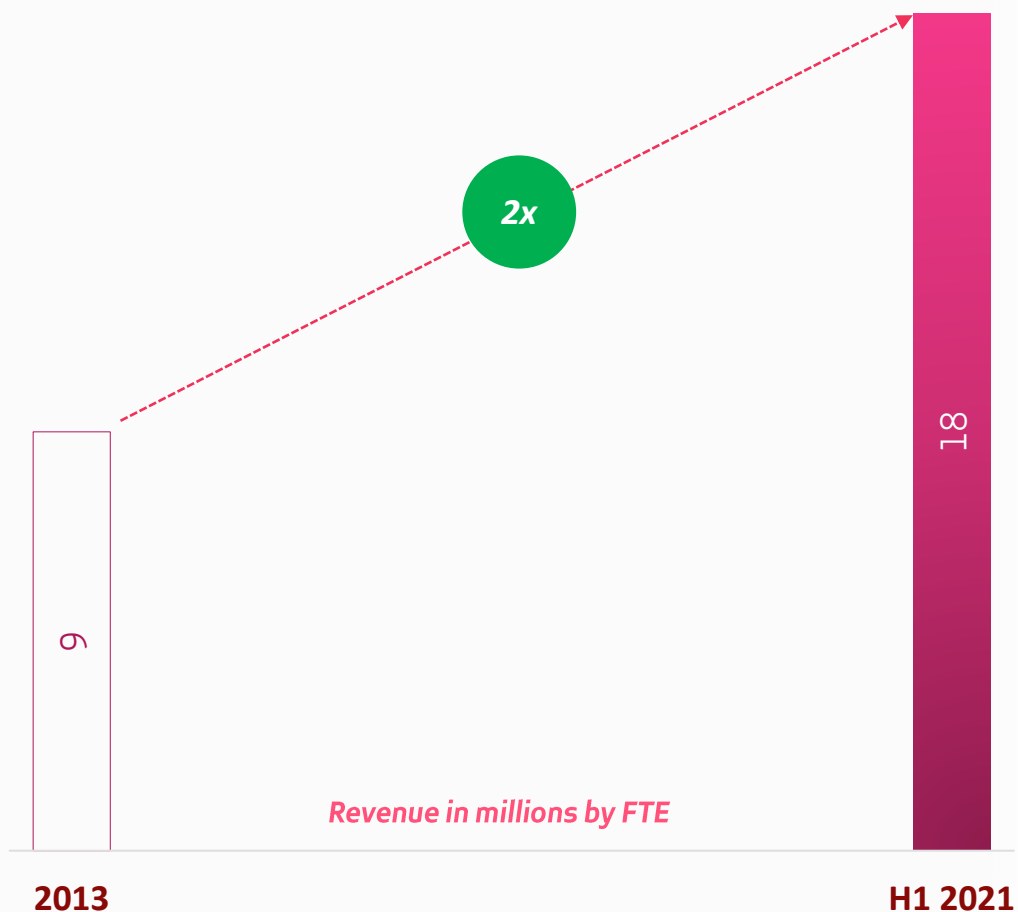


Propositions Today (and 2021 – 2023 Plan)

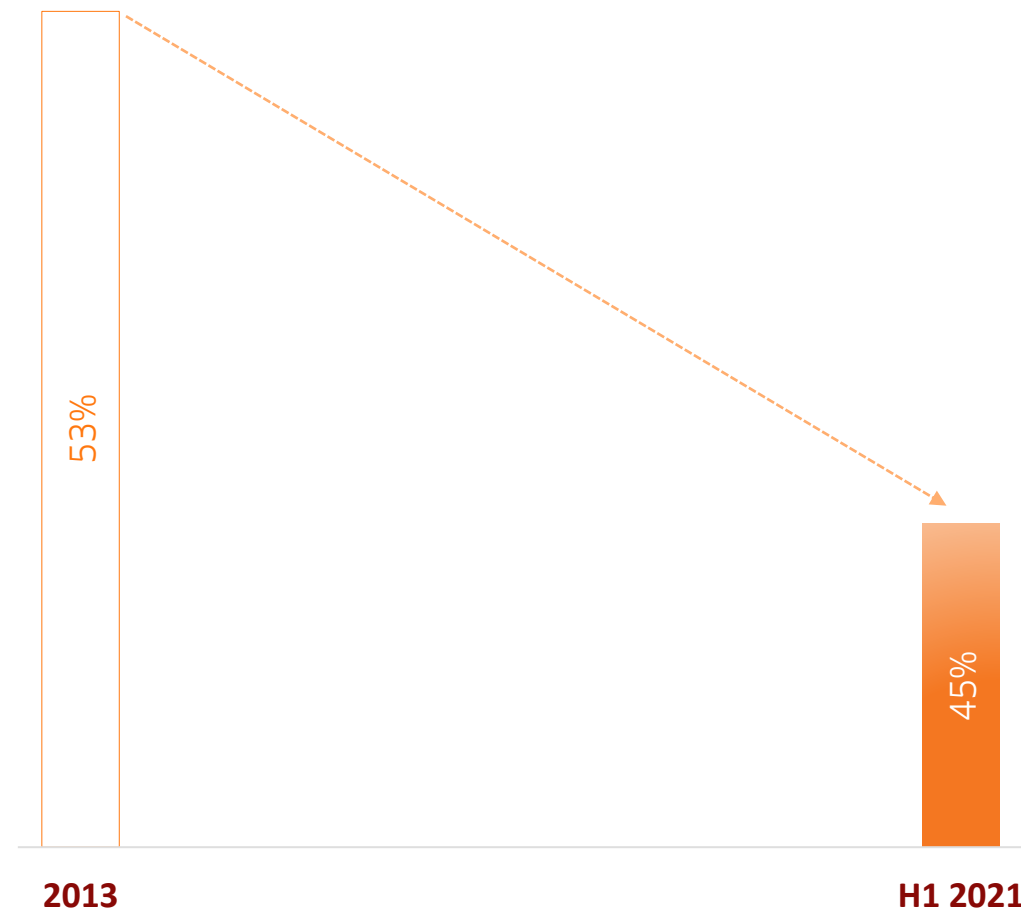


Our strategic successes to date: We have optimized our structural costs and improved our productivity 2-fold, effectively reducing our CIR to mid-40%'s

A step change in revenue productivity



Cost to income ratio down to mid 40%'s



Our strategic successes to date: We are making significant inroads with technology

KES 1.6 bn 2021 planned investment (KES 3.2 billion invested in 2019 and 2020) towards:

1. Digital transformation



*Digital
Wallet
(Timiza Upgrade)*



WhatsApp Banking



*Agency
Banking
expansion*



*Securities
Trading Automator*



*Digitization and
Automation of
backend through
robotics*



*Cash Deposit
Machines*



*Diaspora
Remittances*



*Contactless
payment on debit
and credit cards*



*Digital
Loan top-ups*

2. Bolstering our digital infrastructure



*Enabling cloud
based computing*



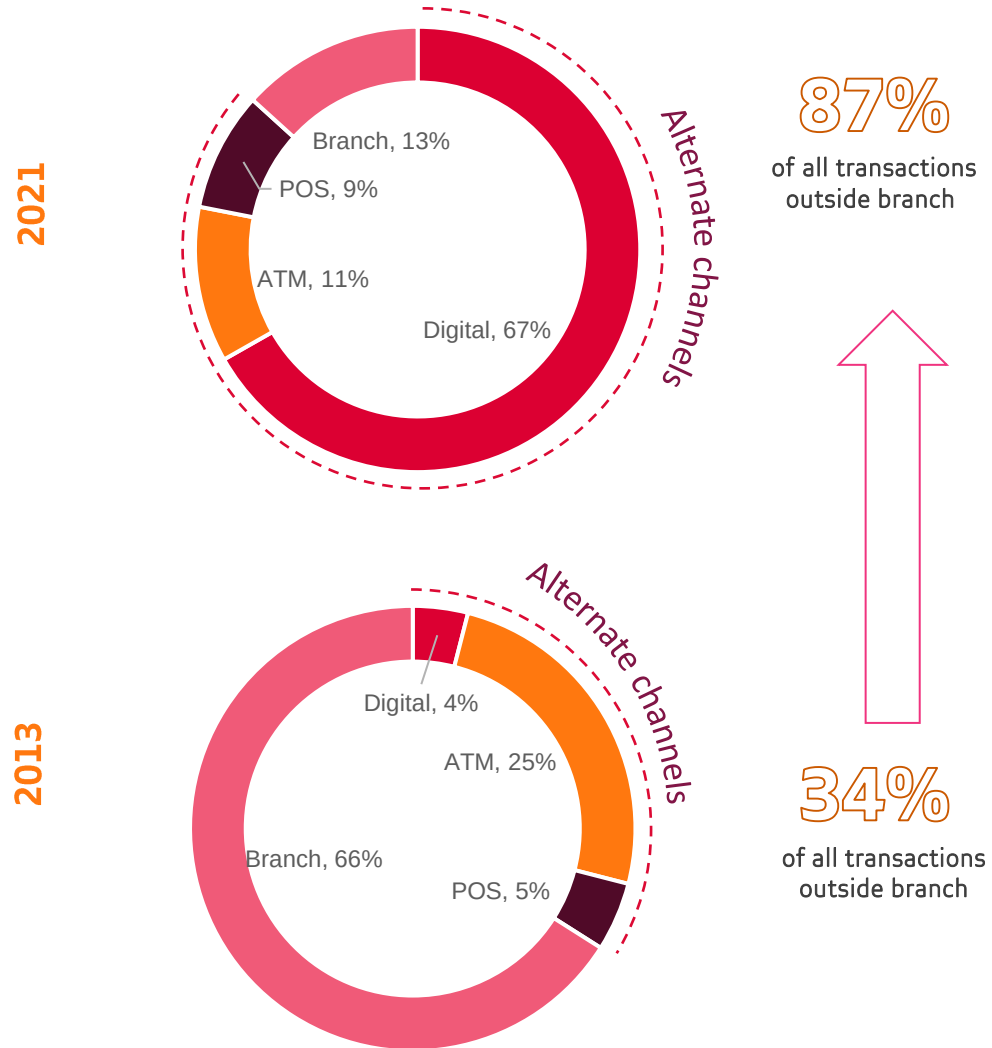
Open-sourced innovation platform



*Enabling our core
banking system for
APIs*

Our strategic successes to date: Significant progress in alternate channels uptake and Non-Funded Income contribution

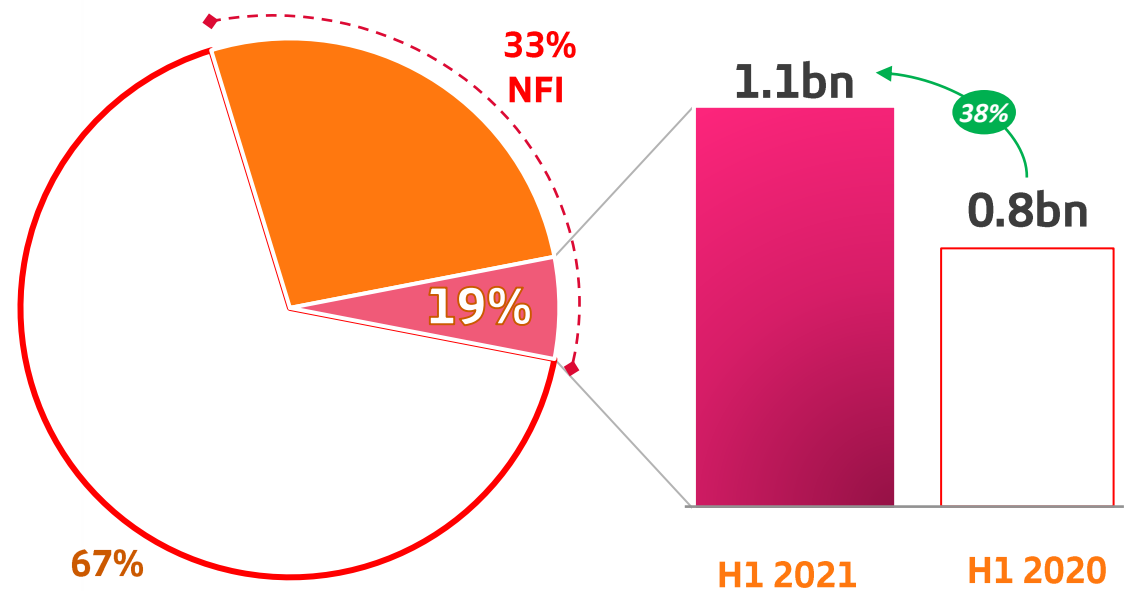
Volume of customer transactions per channel (2013-2021)



Diversification towards Non-Funded Income

33% of Total income driven by NFI

Increased contribution from payments and New NFI businesses, up 38% (KES)



Our strategic successes to date: We have embedded sustainability into our business strategy

Environment

First bank in Kenya to be recognized by Kenya Green building society for championing initiatives that promote green economy by reducing pollution & improving people's lives while fostering economic growth



80+ Absa properties retrofitted with LED/ Automatic control sensors
(142.8tCO₂e in H1 2021)



13% less monthly energy consumption



On-site water purification replaced dispensers
(1208tCO₂e in H1 2021)



33% less in water bills



eWaste to be used to set up 66 computer labs by end of 2021
(16tCO₂e in H1 2021)



10 million trees to be planted over 5 years



Education and Skills Development

- **170,000 youths** in Kenya through Ready to Work (R2W) program. Target 1M by 2025
- **8 webinars** leveraging digital platforms to engage youth and scale registrations
- **82% of colleagues** on sustainability frameworks and principles

Promoting a Just Society

- Increasing diversity of our women suppliers through participation in the Sourcing2Equal IFC programme where the women get mentorship and coaching
- **100+ of our Suppliers** trained on sustainability
- **100 female colleagues** trained through SHE Rises programme in a bid to increase diversity throughout all levels in the organization
- **Kshs 8.8 Million** disbursed to three winners of Absa Wall of Possibilities

Inclusive Financing

- **Women in Business Received Euro 200,000** to support Women-Led Businesses
- **Kshs 370M to finance 55 suppliers** through our ESD programme

Our strategic successes to date: Our efforts have been recognized by our stakeholders

Brand Awareness

Top rated as the brand that has become most accessible over 2020 – 2021 BY One-Pulse



Brand Reputation

Second most reputable Bank in the country



5 Think Business Awards

- Agriculture Financing
- SME Banking
- Islamic Banking
- Corporate Banking
- Product Marketing



East Africa CIO Awards

“Best Tech Overhaul” category



Top1000Banks

Absa voted No.3 bank in Africa, in the Top 1000 global banks



3 Digital Media Awards

- New Technology
- Digital Brand of the year
- Digital Platform





Financial Performance

Yusuf Omari –
Chief Finance Officer

Operating
Environment

Strategy
Execution

H1 2021 Financial
Performance

Forward
Looking insights

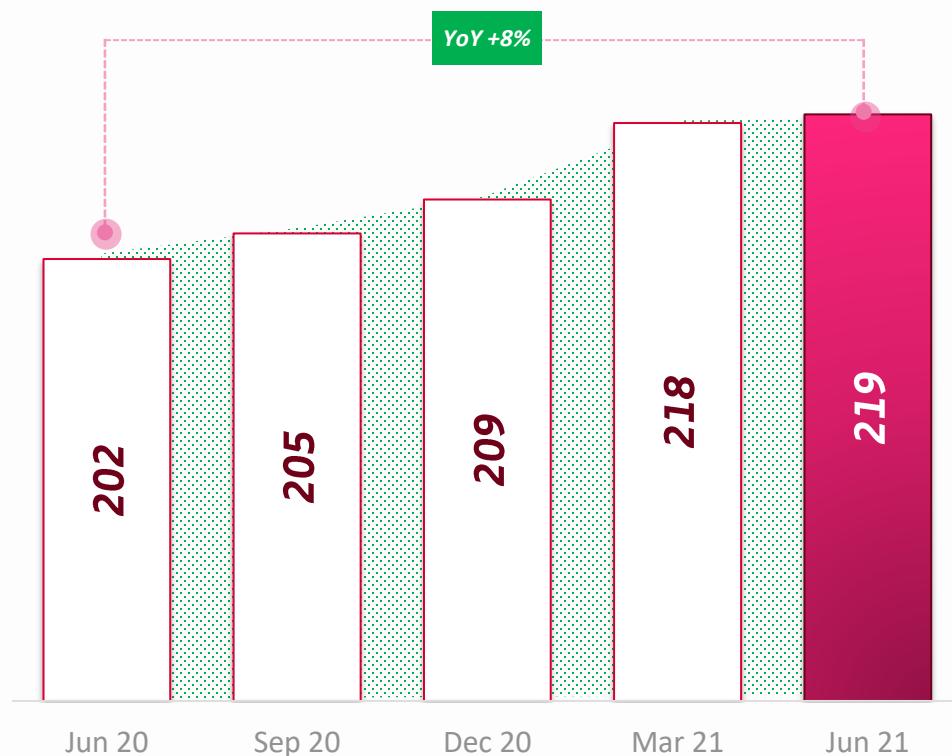
2H Priorities

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H1 2020 Financial Results: Growth in balance sheet across all business segments

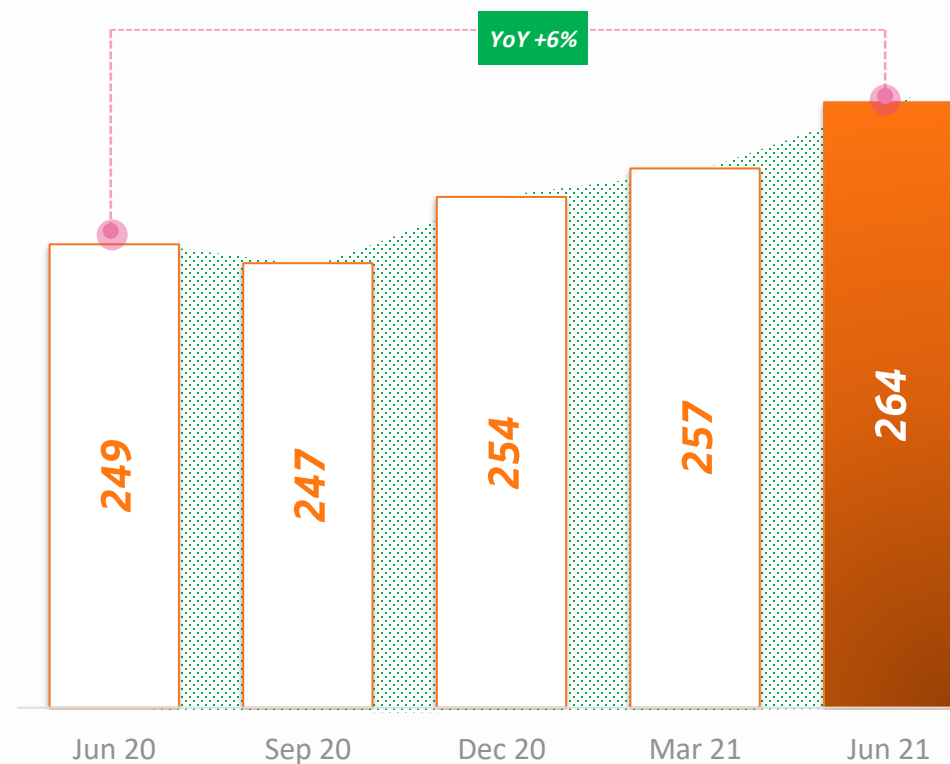
(In KES bn unless stated otherwise)

Customer Loans and Advances



- LDR of **83%**
- Growth driven by scheme loans, general lending Asset finance and mortgage products

Customer Deposits

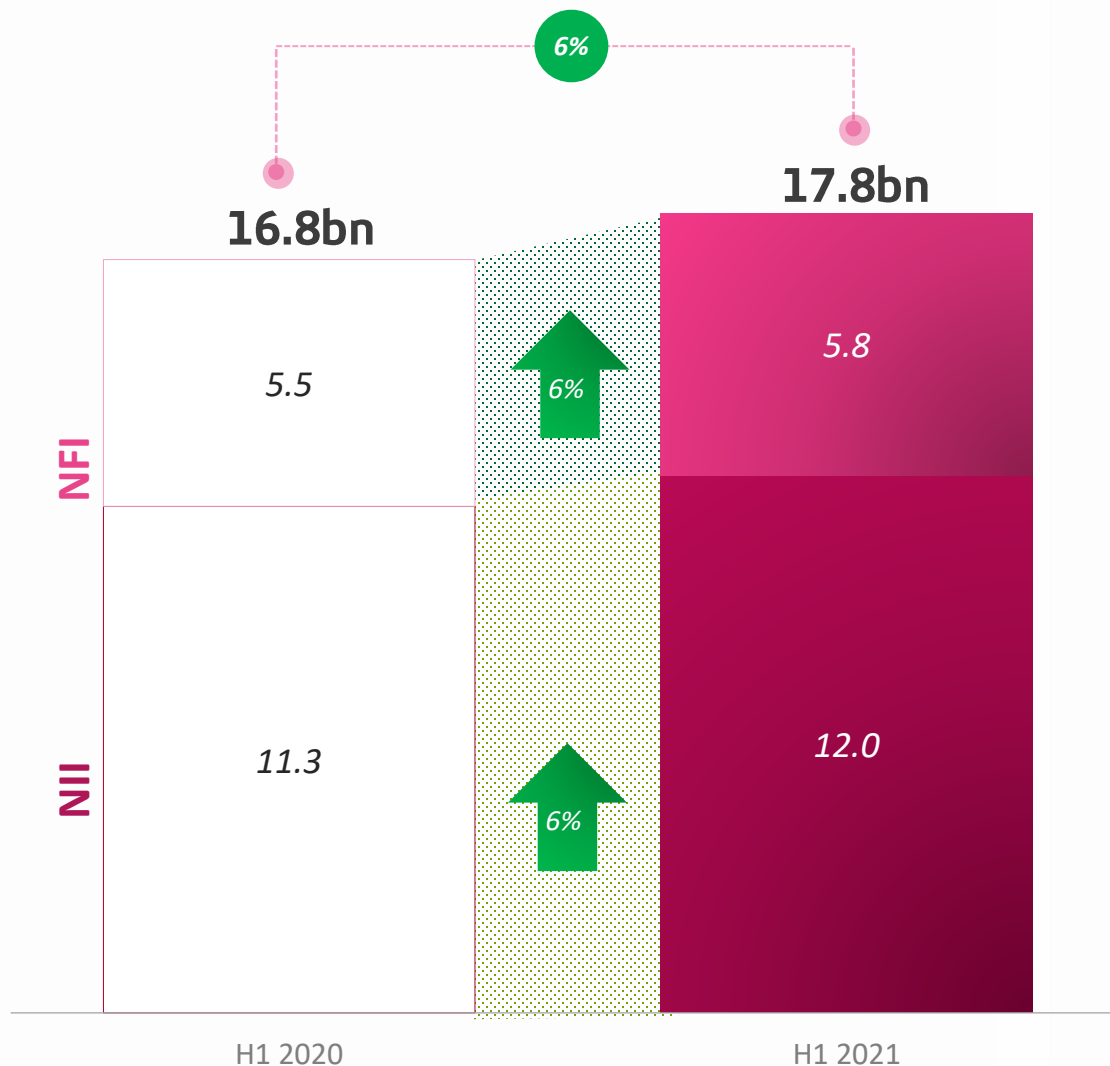


- Focus is on attracting **cheaper deposits** to lower the cost of funding

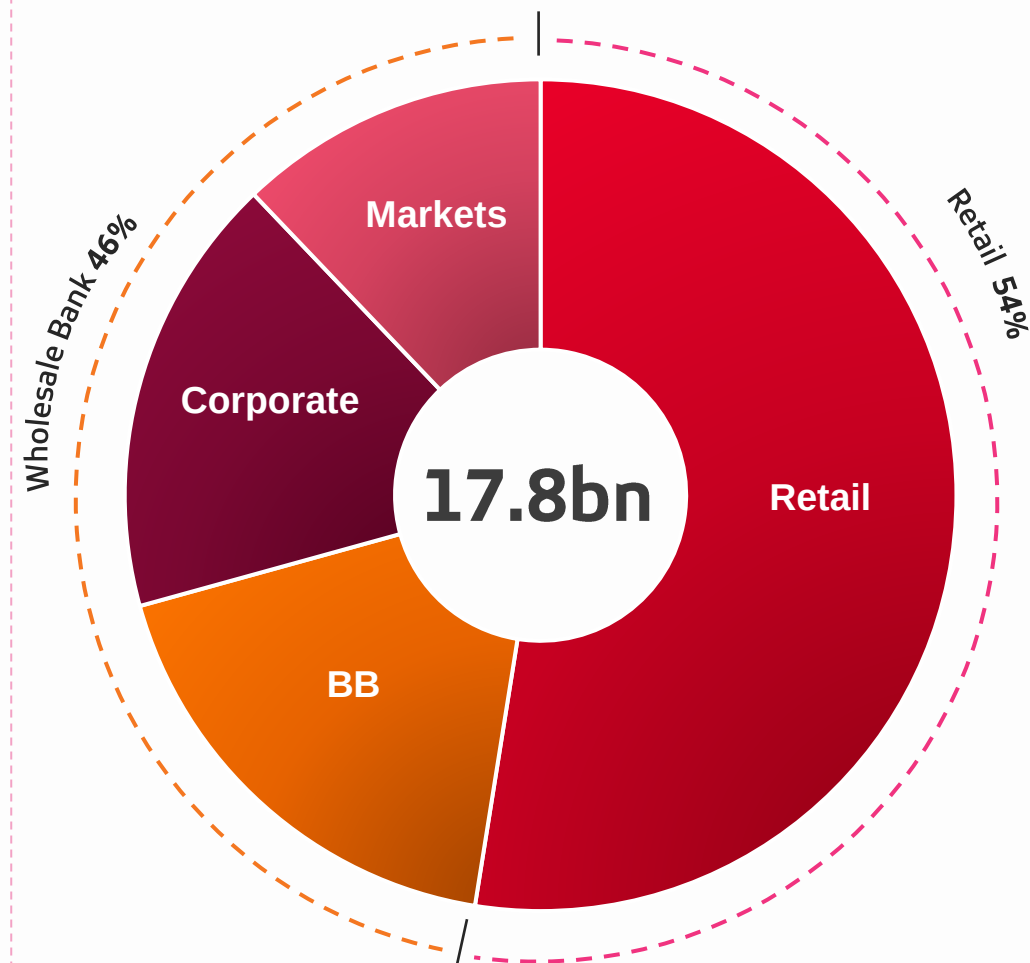
H1 2021 Financial Results: Revenue up 6% with growth in both NII and NFI despite thinning margins as well as COVID-19 impact on fees and volumes

(In KES bn unless stated otherwise)

Absa NII and NFI

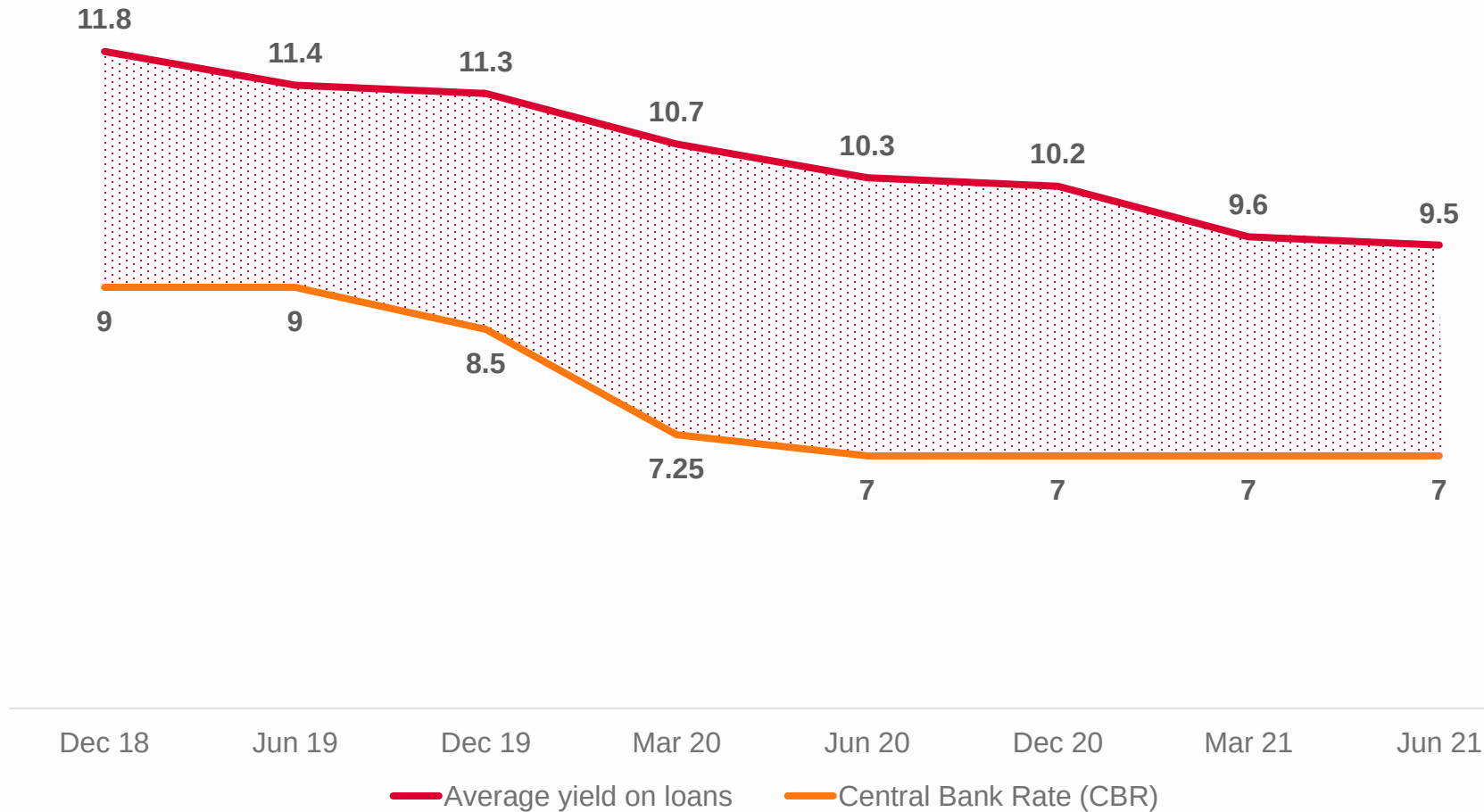


H1 2021 Income functional diversification



H1 2021 Financial Results: CBR drop impacting our yields.. Over 80bps drop affecting our revenues growth

Yield vs CBR movement (%)

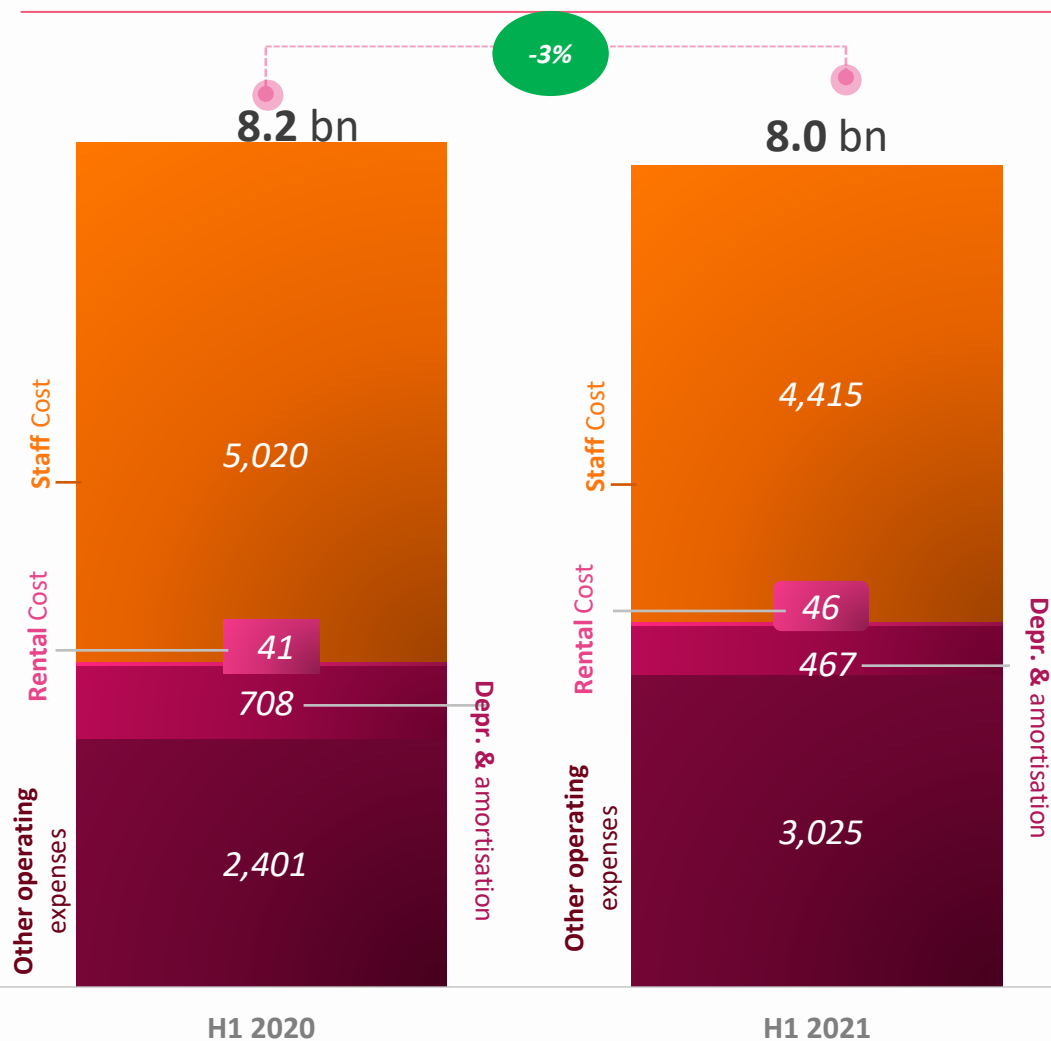


As a responsible financial partner, we have been repricing the book and passing on the benefits to our customers.

H1 2021 Financial Results: Prudent cost management driving a 3% YoY cost drop

(In KES bn unless stated otherwise)

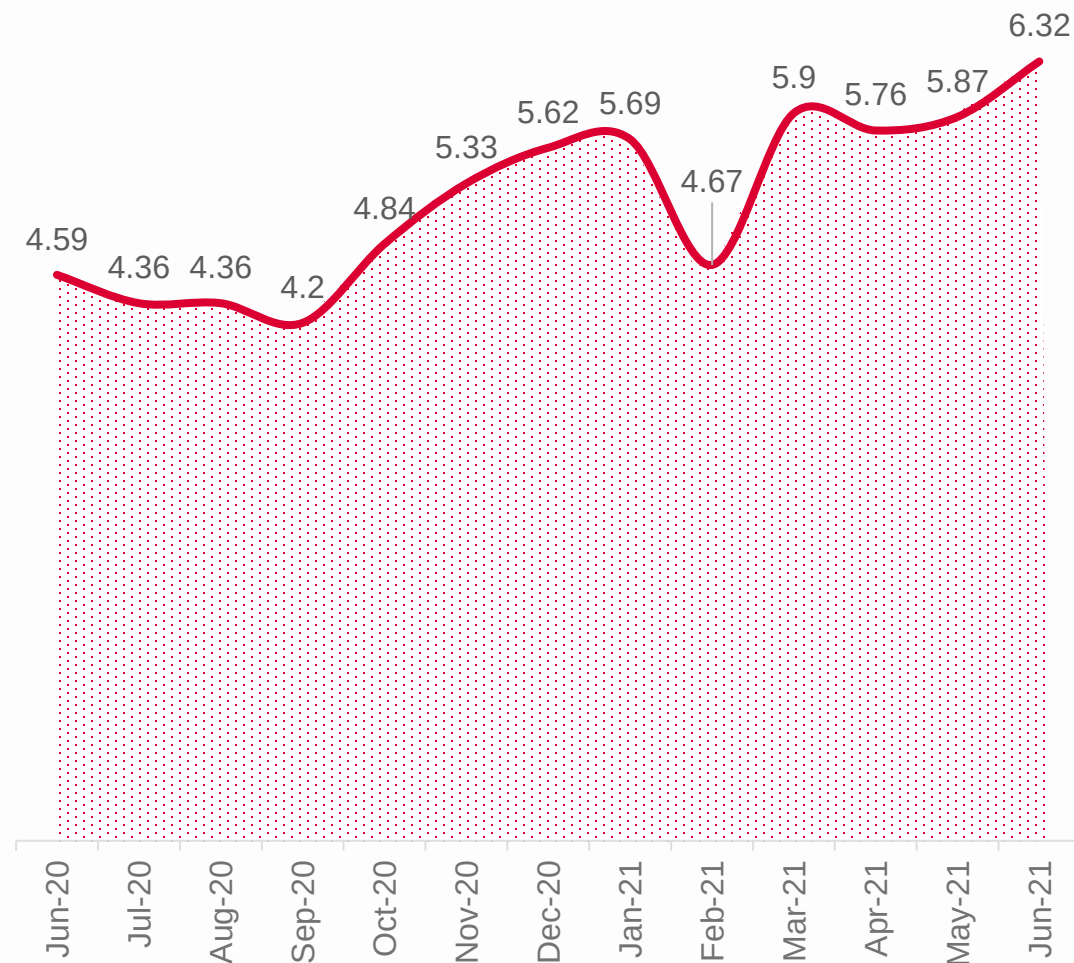
Absa Cost : H1 2020 – H1 2021⁽¹⁾



Notes:

1. Excludes Kshs 1.7 billion separational costs incurred in H1 2020 reported as exceptional item in the publication

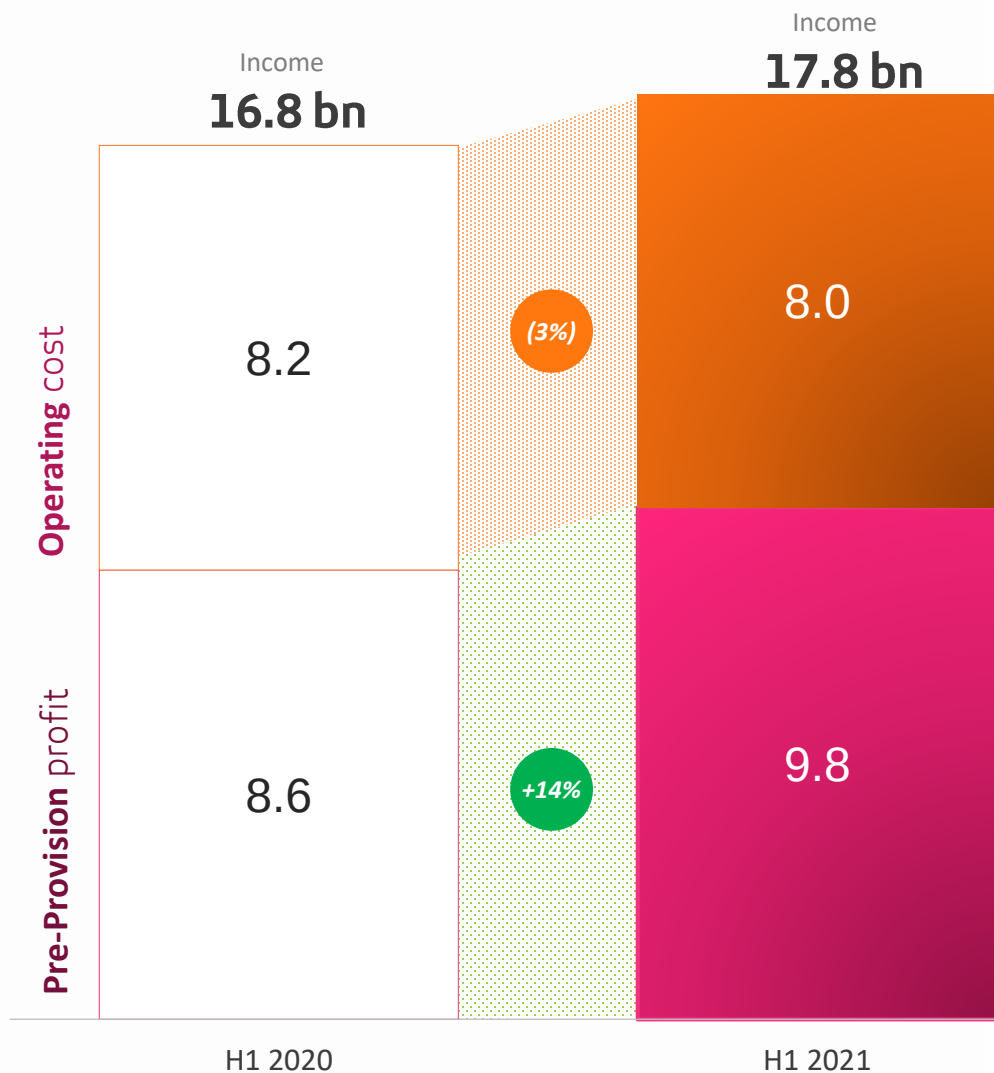
12-month average inflation : H1 2021 at 6.3%



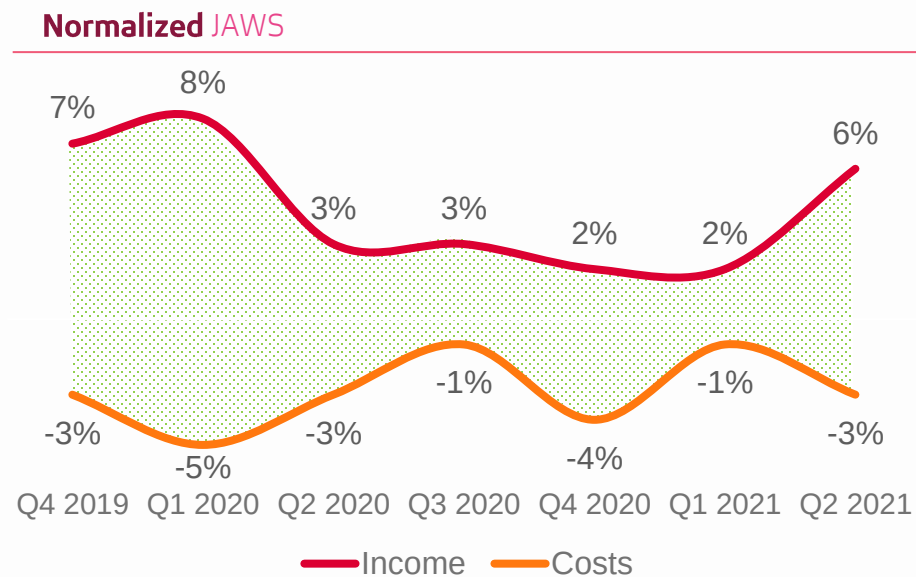
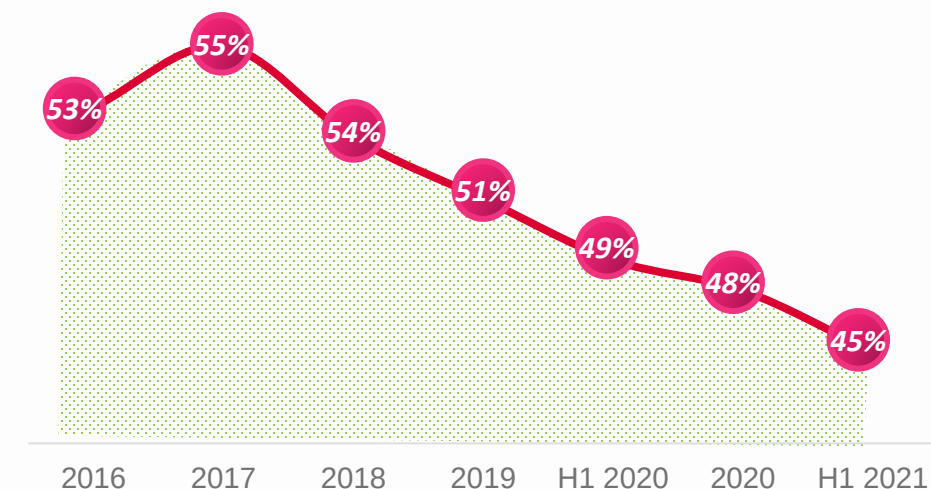
H1 2021 Financial Results: 14% growth in our Pre-Provision profit to KES 9.9 billion, supported by contained cost and growth in revenue; reducing our Cost to income ratio to 45%

(In KES bn unless stated otherwise)

Operating profit and Operating cost: H1 2021



Normalized CIR ratio: H1 2021 at 45%



H1 2021 Financial Results: All our key financial measures showing a marked improvement

Financial Results H1 2021					
(In KES bn unless stated otherwise)					
P&L	Indicators	H1 2021	H1 2020	Comment	
	Income	17.8 bn	16.8 bn	6% growth	↑
	NII	12.0 bn	11.3 bn	6% growth	↑
	NFI	5.8 bn	5.5 bn	6% growth	↑
	Operating Costs	(8.0 bn)	(8.2 bn)	3% decline	↓
	Pre-Provision Profit	9.8 bn	8.6 bn	14% growth	↑
	Impairment	(1.9 bn)	(5.4 bn)	64% decline	↓
	Exceptional Items	-	(1.7 bn)	Re-brand concluded	↑
	Profit Before Tax	7.9 bn	1.6 bn	399% growth	↑
Balance sheet	Profit After Tax	5.6 bn	0.6 bn	846% growth	↑
	Customer Assets	218.9 bn	201.9 bn	8% growth	↑
	Customer Liabilities	263.9 bn	248.7 bn	6% growth	↑
	Total Assets	398.2 bn	391.8 bn	2% growth	↑

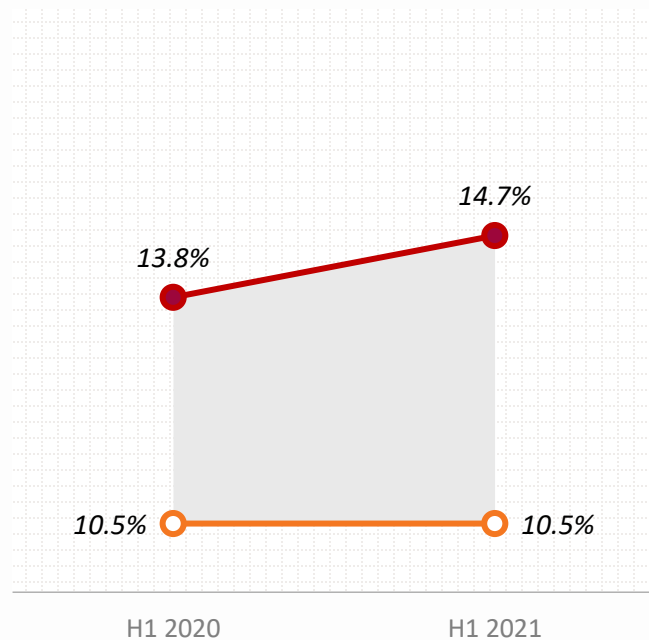
H1 2021 Financial Results (Key Ratios): CIR showing marked improvement and loss loan ratio improved

Key ratios			
Indicators	H1 2021	H1 2020	
Normalised Cost to Income Ratio	45%	49%	Marked improvement (400 bps) 
Loan Loss Rate	1.8%	5.4%	Marked improvement in underlying portfolio quality 
Interest spread	7.1%	7.6%	CBR drop impact 
Yield on Loans	9.5%	10.3%	CBR drop impact 
Cost of Funds	2.4%	2.7%	Better than prior period as we diversified our deposits 
ROE	22%	6%	Recovery in ROE driven by better earnings and optimization of capital 

H1 2021 Financial Results (Key Ratios): Strong capital and liquidity ratios to support future growth and returns recovery

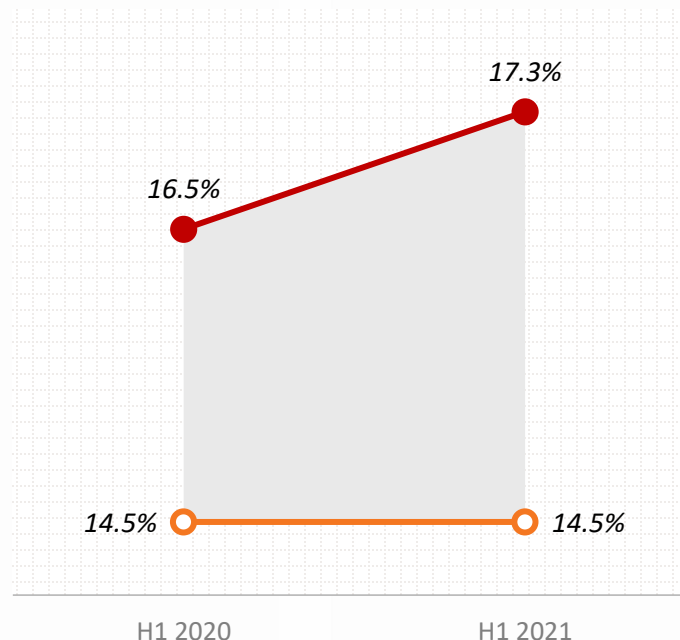
Core Capital Ratio

—●— Core Capital Ratio —○— Regulatory Minimum



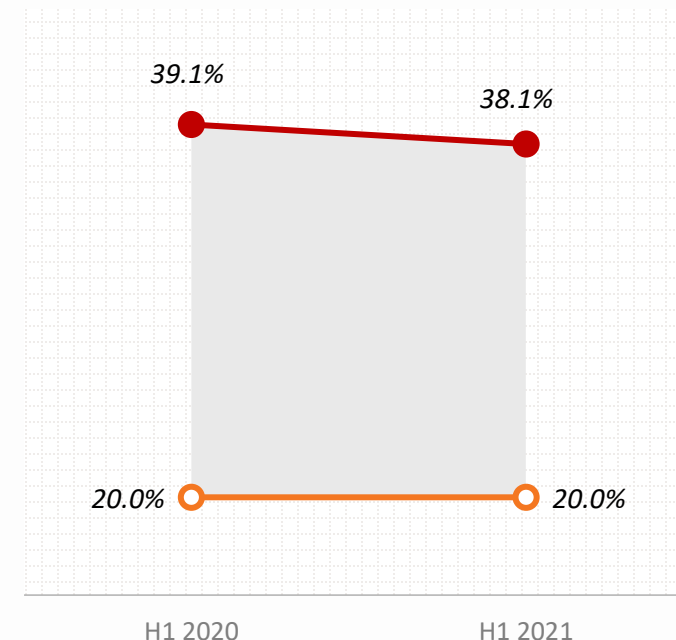
Total Capital Ratio

—●— Total Capital Ratio —○— Regulatory Minimum



Liquidity Ratio

—●— Liquidity Ratio —○— Regulatory Minimum





Forward Looking insights

Moses Muthui -
Chief Strategy Officer
Finance Director, Corporate and Investment Bank

Operating
Environment

Strategy
Execution

H1 2021 Financial
Performance

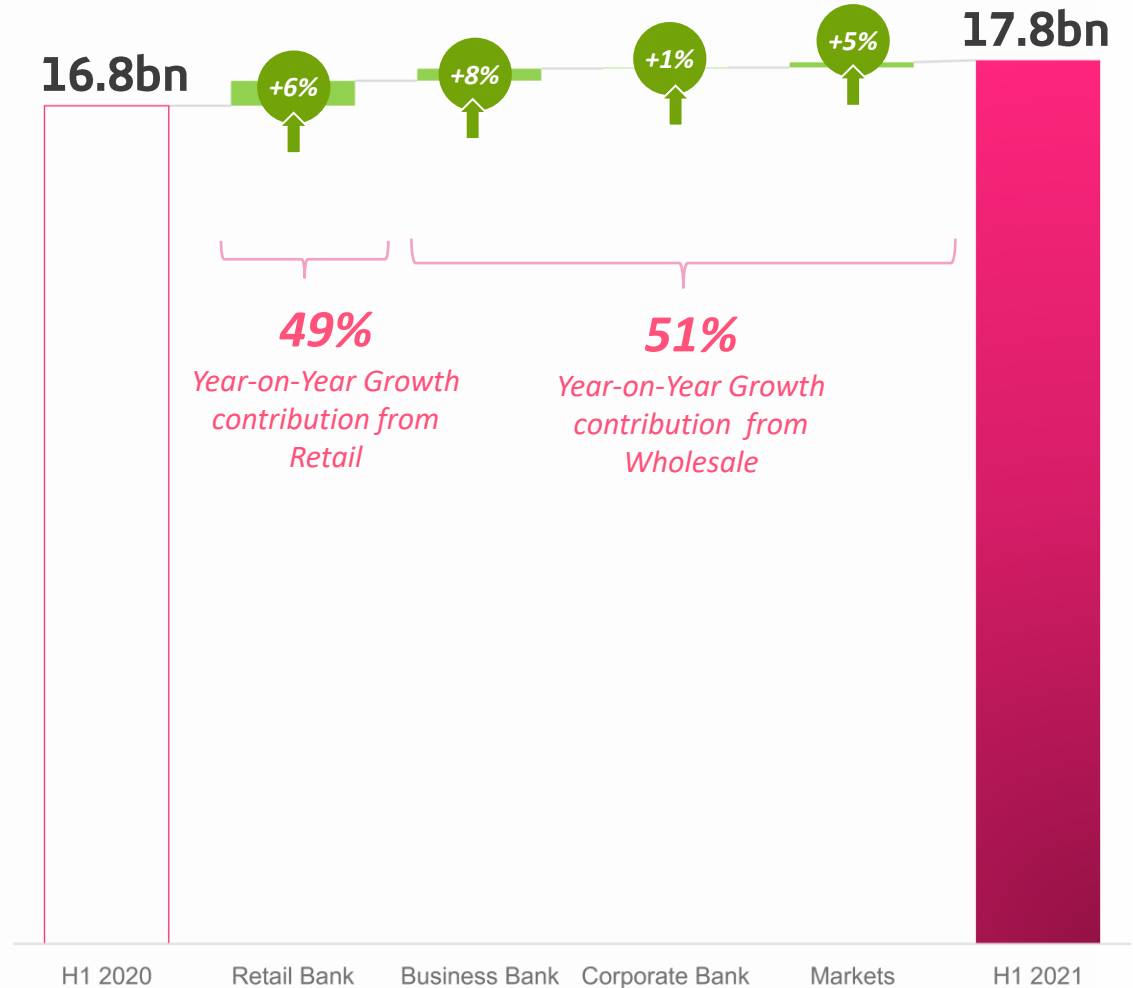
Forward
Looking insights

2H Priorities

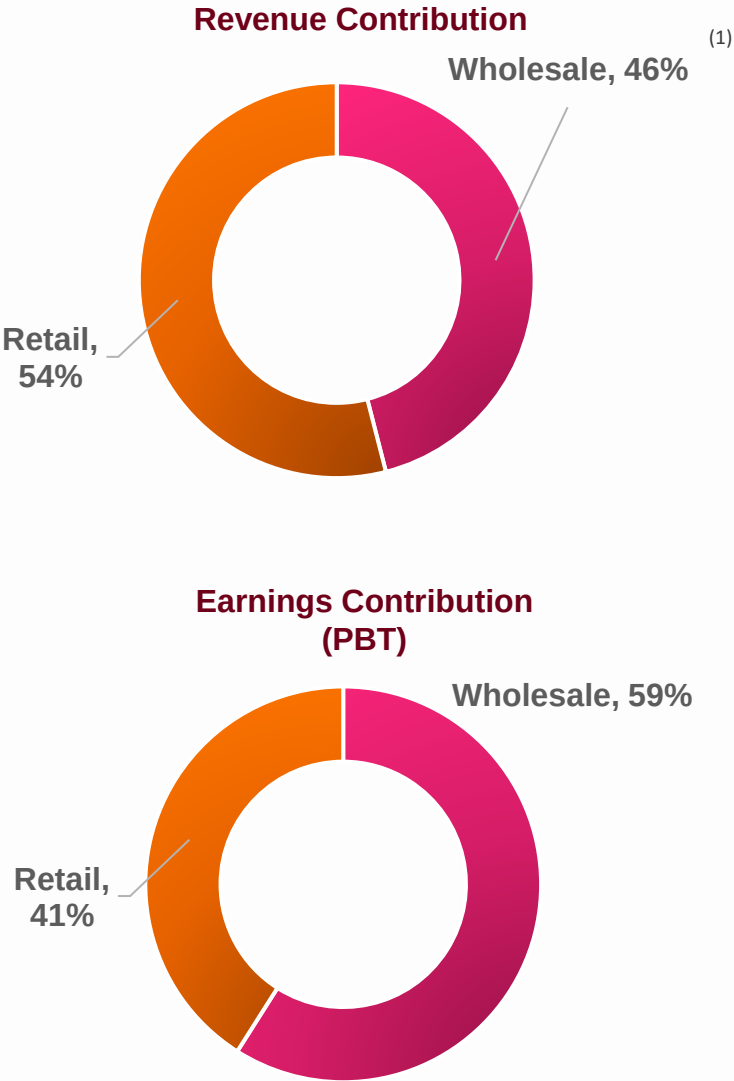
1. Diversification: Revenue and earnings diversification towards a 50/50 Retail/Wholesale split provide a more predictable financial profile during the transitional cycle

(In KES bn unless stated otherwise)

Income Growth (and growth contribution) by business H1 2021 vs H1 2020



Revenue and earnings distribution H1 2021

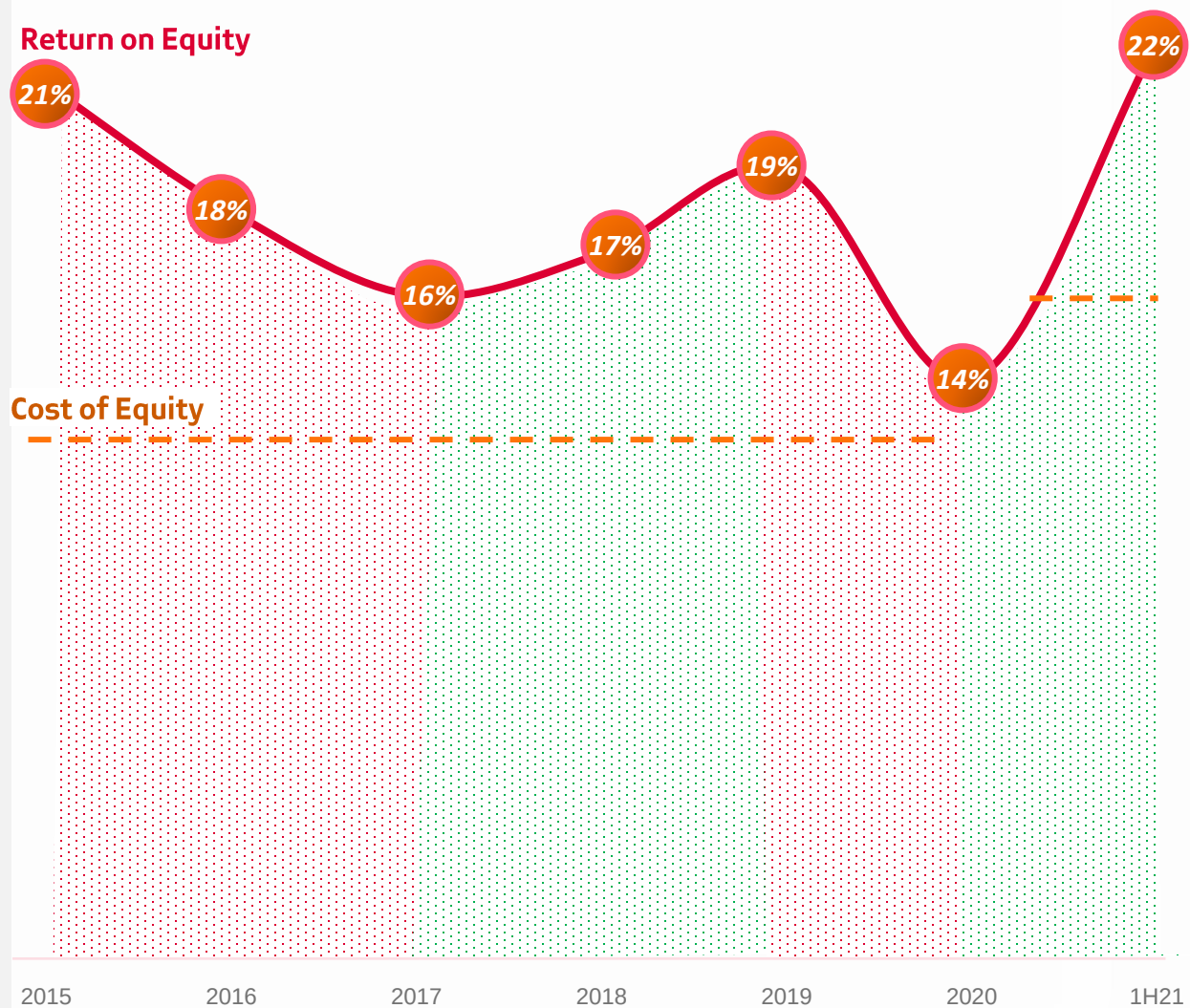


Notes:

1. Wholesale comprises of Business Bank and Corporate Bank and Markets business

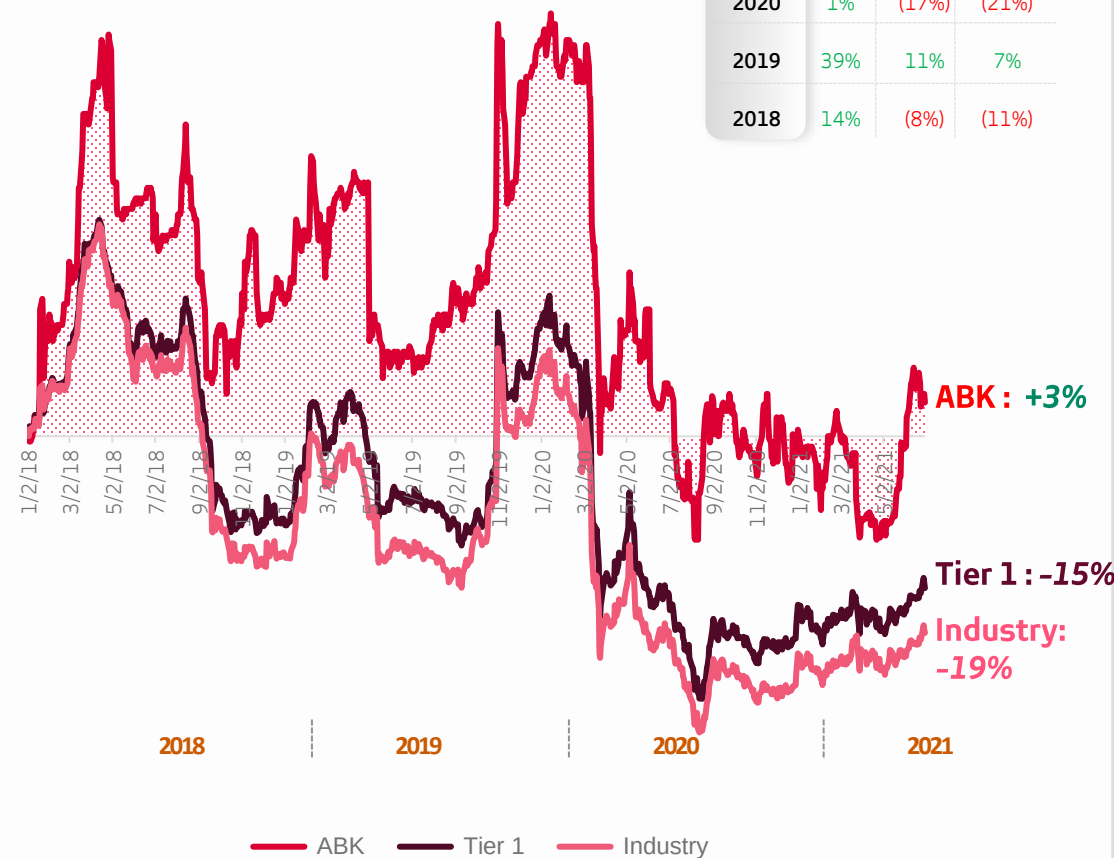
2. Returns: Correction of ROE's to above pre-COVID-19 level and significantly above cost of equity. We believe above COE is sustainable through the cycle

Absa actual ROE for H1 2021 at 22%



ABK Trading Levels through the strategy cycle ⁽¹⁾

	ABK	Tier 1	Industry
H121	3%	(15%)	(19%)
2020	1%	(17%)	(21%)
2019	39%	11%	7%
2018	14%	(8%)	(11%)



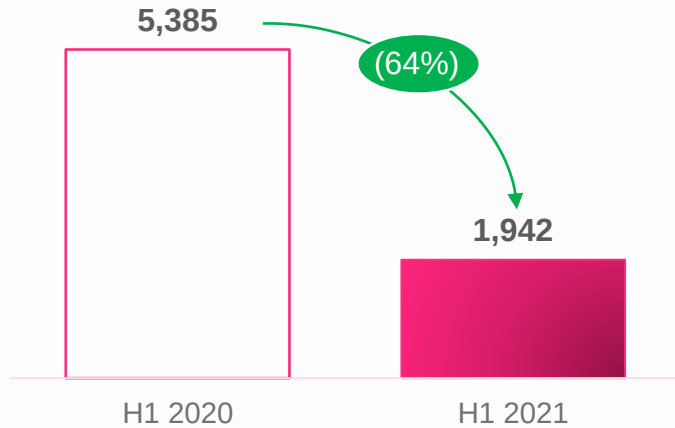
Notes:

1. Stock Price as at 30th June 2021

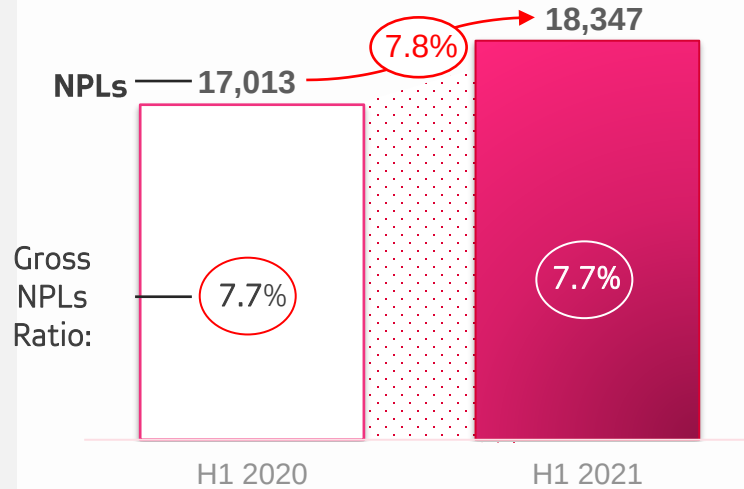
3. Quality: Better than anticipated credit quality and residual impairment allowance gives us confidence of low LLRs through the cycle

(In KES mn unless stated otherwise)

Impairments dropped by 64%

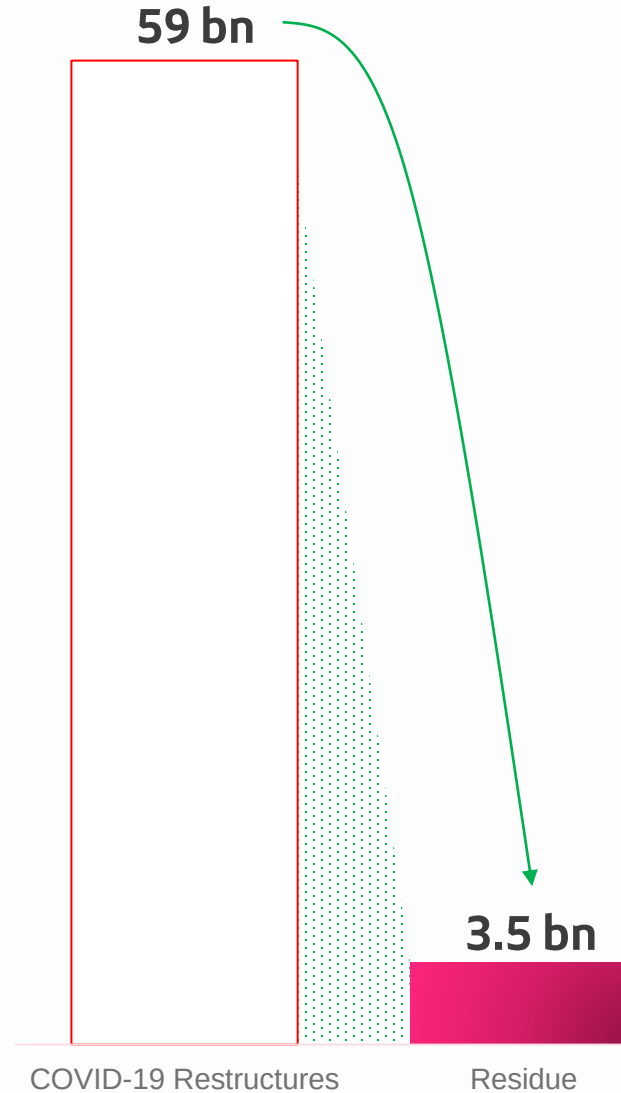


NPLs slightly up and well distributed: NPL ratio unchanged

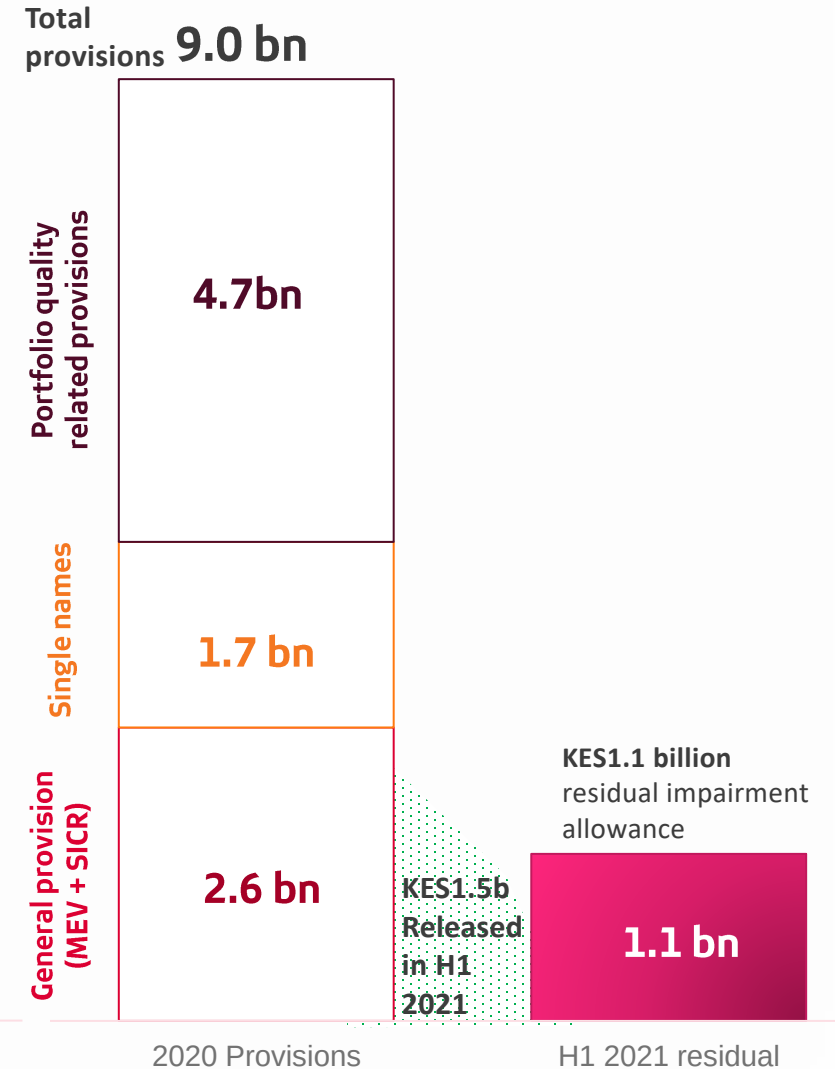


Corporate bank contributes 52% of gross NPLs dropping by 1% YoY with retail growing by 19% YoY

96%+ of 2020 restructured loans regularized

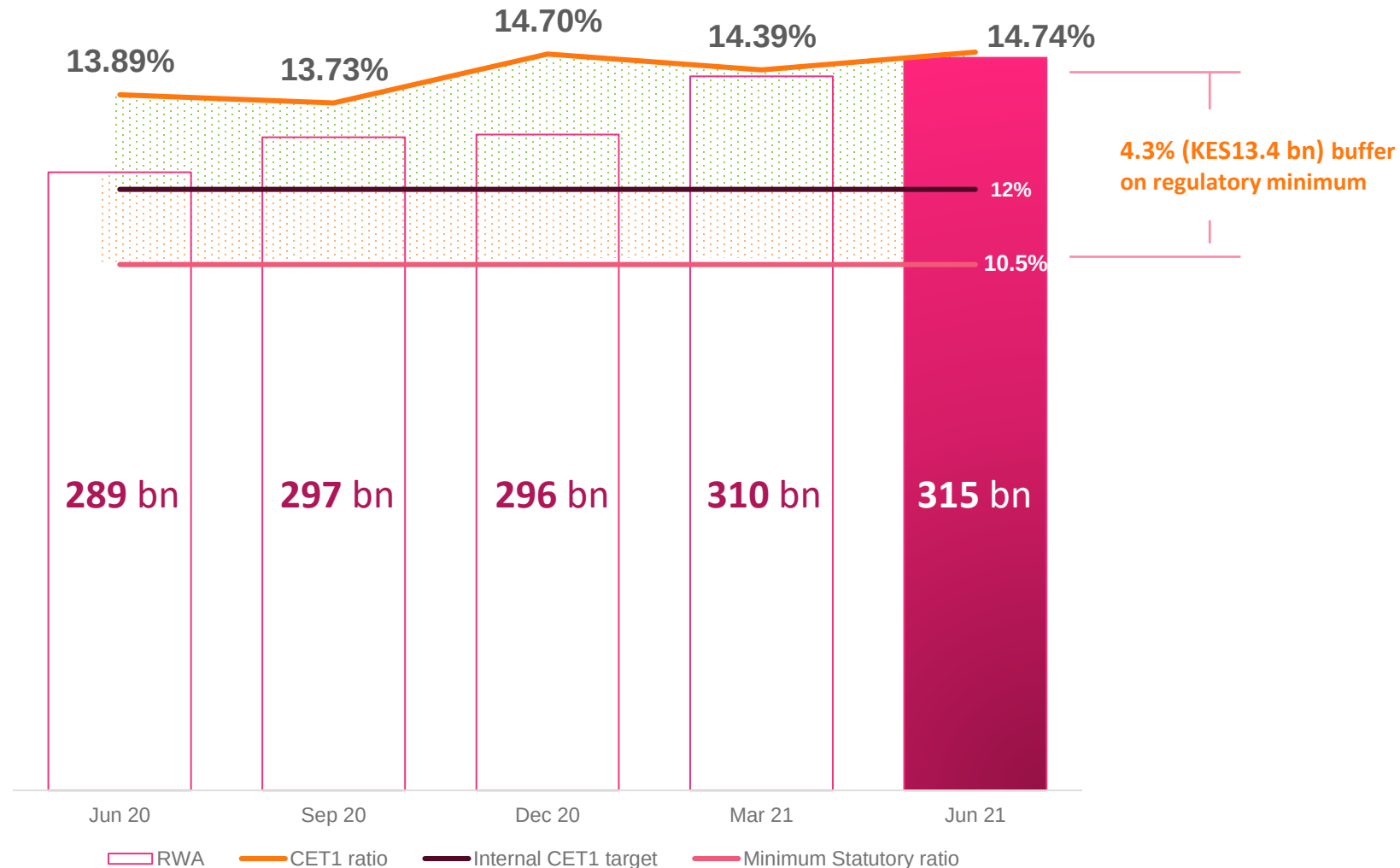


1.1bn of residual impairment allowance as at H1, for potential future releases



4. Strength: Net capital supply in 1Q and 2Q with an expanding balance sheet a sign of franchise strength. We have KES13.4 billion of capital buffer

Strong capital position with capital ratios secured, despite extreme COVID-19 take-on provisions



- We are well capitalized with sufficient buffer of 4.3% post taking in provisions and targeting to remain above internal trigger through the cycle despite anticipated balance sheet expansion
- We are well positioned for medium-term growth and we believe primary focus on preservation is behind us

5. Aspirations: The next phase of our evolution focused on re-investment for Smart Growth

After achieving our business transformation goals and a successful change program to Absa, we are focused on the third significant phase of our strategy



Key achievements to date

Growth:	2x balance sheet
Transformation:	FTE down 36%, CIR down to 45%
Returns:	ROE up to 22%

Forward looking aspirations

To grow revenue above industry average
To sustain CIR at mid-40%
To sustain ROE>COE through the cycle

2H 2021: We believe the drivers of valuation are reverting to pre-COVID-19

Pre-COVID-19 period drivers of valuation

- Income Growth
- Statutory EPS Growth
- ROE
- DPS

COVID-19 Transitional period drivers of valuation

Pre-provision Profits

CET1

Approach to (Level of) Absolute provisions

Positive P&L and Balance Sheet JAWs

2H 2021 guidance on pre-COVID-19 drivers of valuation

- **Income growth:** H1 momentum sustained in absolute terms
- **Statutory EPS Growth:** 3Q & 4Q sequential to 1Q & 2Q
- **ROE:** Above Cost of Capital
- **DPS:** Confident to resume capital distribution at full year



2021 2H Priorities

Jeremy Awori –
Chief Executive Officer

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Our Key priorities for 2H 2021





(Disclaimer)

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Absa Bank Kenya PLC . Words such as “anticipates”, “estimates”, “expects”, “projects”, “believes”, “intends”, “plans”, “may”, “will” and “should” and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Absa Bank of Kenya future operating, financial or other results and involve certain risks, uncertainties and assumptions.

Accordingly, actual results and outcomes may differ materially from these expressed or implied by such statements. Absa Bank Kenya PLC makes no representation or warranty, express or implied, that the operating, financial or other results anticipated by such forward-looking statements will be achieved and such forward-looking statements represent, in each case, only one of many possible scenarios and should not be viewed as the most likely or standard scenario.

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